

ECON 0100 | Fall 2024

MiniExam C | Version 1

This MiniExam will take 15 minutes with quick break to follow. MiniExams are designed to both test your knowledge and challenge you to apply familiar concepts in new environments. Treat it as if you're trying to show me that you understand the material. Answer clearly and completely.

Academic Conduct Code | Name: TAYLOR Student ID: 😊

The following academic conduct code is designed to protect the integrity of your work. Print your name/initials beside the five academic honesty agreements. I pledge to my fellow students, the university, and the instructor, that:

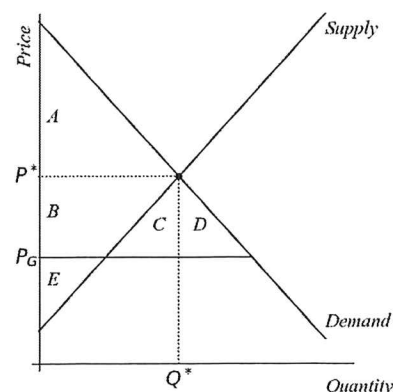
- ☒ I will complete this MiniExam solely using my own work.
- ☒ I will not use any digital resources unless explicitly allowed by the instructor.
- ☒ I will not communicate directly or indirectly with others during the MiniExam.

Acc: 10 points

Q1 (of 4) | International Trade :: 15 points

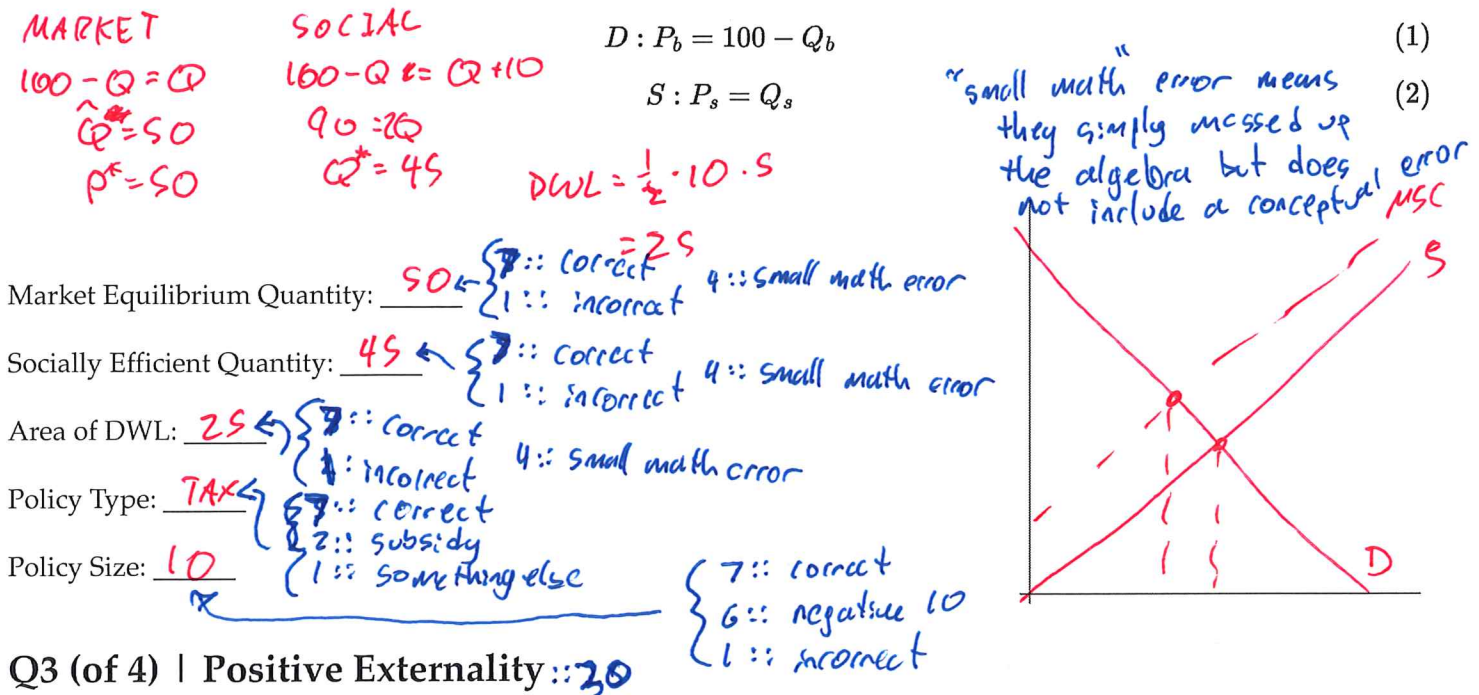
The British wizarding world had typically seen high prices for enchanted broomsticks which were required to be made domestically. Domestic prices were higher than the global price. This all changed when the Ministry of Magic opened the domestic market to international trade. After the domestic market opened to international trade:

- a) How much did total surplus (PS + CS) increase? C + D a) { 9 :: C + D
4 :: C or D
1 :: incorrect
- b) How much welfare was transferred from producers to consumers? B b) { 6 :: B
2 :: C and/or D
1 :: incorrect



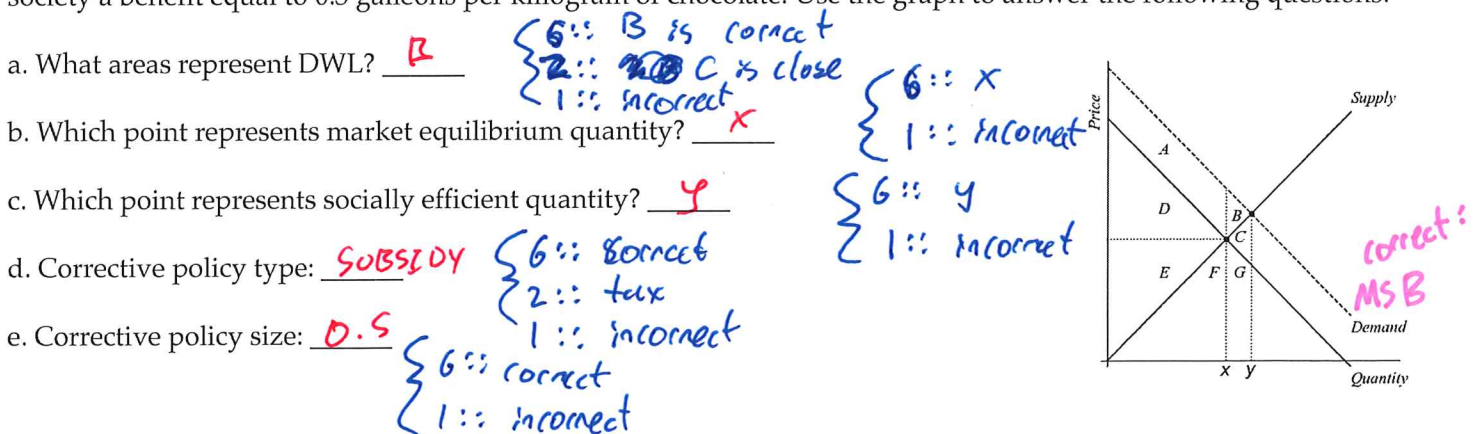
Q2 (of 4) | Negative Externality :: 35 points

Weasleys' Wildfire Whiz-bangs are magical fireworks created by Fred and George Weasley beloved by Hogwarts students and teachers and are widely available. But the fireworks often cause disruptions to others due to their loud noise and damage to property. Each Whiz-bang has a cost to society of 10 galleons. Use a graph to find the market equilibrium quantity, the socially efficient quantity, the area of the DWL, and propose a solution.



Q3 (of 4) | Positive Externality :: 30

Chocolate bars have long been enjoyed both as a snack and as an antidote to dementors, with many buyer and sellers. The manufacture of chocolate also releases a pleasing aroma which the Ministry of Magic has estimated to give society a benefit equal to 0.5 galleons per kilogram of chocolate. Use the graph to answer the following questions.



Q4 (of 4) | Deadweight Loss Intuition :: 10

In each of the following three examples, identify the size of the DWL for one exchange.

- a. The marginal cost of a gallon of gas is \$3.00, the negative externality is \$1.00, and the marginal benefit is \$3.50. If this gallon of gas is exchanged, what is the deadweight loss? **0.5**
- b. The marginal cost of a dozen flowers is \$8.00, the positive externality is \$4.00, and the marginal benefit is \$6.00. If this dozen flowers is not exchanged, what is the deadweight loss? **2**
- Handwritten notes on Q4:
- Grading notes for Q4:
- a. The marginal cost of a gallon of gas is \$3.00, the negative externality is \$1.00, and the marginal benefit is \$3.50. If this gallon of gas is exchanged, what is the deadweight loss? 0.5 (5 correct, 1 incorrect)
 - b. The marginal cost of a dozen flowers is \$8.00, the positive externality is \$4.00, and the marginal benefit is \$6.00. If this dozen flowers is not exchanged, what is the deadweight loss? 2 (5 correct, 1 incorrect)